bestoasis

Recycling with the Best

Weekly Ship Recycling Report

21 October 2023 - 27 October 2023

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Highlights of the Week

Throughout the current week, the ship recycling industry has exhibited a lackluster performance across various recycling destinations. In the context of India, it is evident that the market has encountered a slowed pace, characterized by a persistent downward trajectory. This trend has been particularly observed in the local steel market, which has exhibited a gradual decline. In the context of Bangladesh, it is observed that the market is exhibiting a regressive trajectory, with an apparent decline in demand. Furthermore, the sector continues to grapple with the persistent issue of LC challenges. Throughout the course of the week, Pakistan maintained a state of tranquility across various domains, while simultaneously coping with difficulties pertaining to the LC. Turkey experienced a decline in both import and domestic prices, coupled with a persistently low demand.

The United States announced last week that sanctions against companies engaged in Venezuelan oil trading will be lifted which was an unexpectedly accommodating step. This situation presents a chance to rearrange oil movements, specifically in the Atlantic basin; consequently, there is a renewed emphasis on the employment of VLCCs and the effects on the "dark fleet." Venezuela is now able to freely produce and export oil as sanctions are lifted. It is probable that discounts on the cost of its crude will cease to exist, resulting in a substantial volume of oil being transferred from the illicit market to regular markets. More Venezuelan crude is anticipated to migrate to the United States and Europe as complete sanctions relief is implemented, with many U.S. refineries constructed to operate on Venezuelan molecules. This may replace current Middle Eastern imports by the United States. The increased export of Venezuelan crude to the United States and Europe will result in a surge in demand for the Suezmax and Aframax segments. The market will be significantly influenced in numerous ways as sanctions against Venezuela are lifted for the first time in nearly five years. Given the potential for certain larger tanker units to seek alternative employment in non-mainstream industries, the ship recycling market is poised to encounter a challenge regarding the availability of tonnage for these vessels.

Exchange Rates:

USD / INR ₹

This Week	: 83.24
Previous Week	: 83.11
Lost	: 0.13

USD / BDT ৳

This Week	: 110.26
Previous Week	: 110.23
Lost	: 0.03

USD / PKR Rs

This Week	: 277.03
Previous Week	: 278.77
Gained	: 1.74

USD / TRY ₺

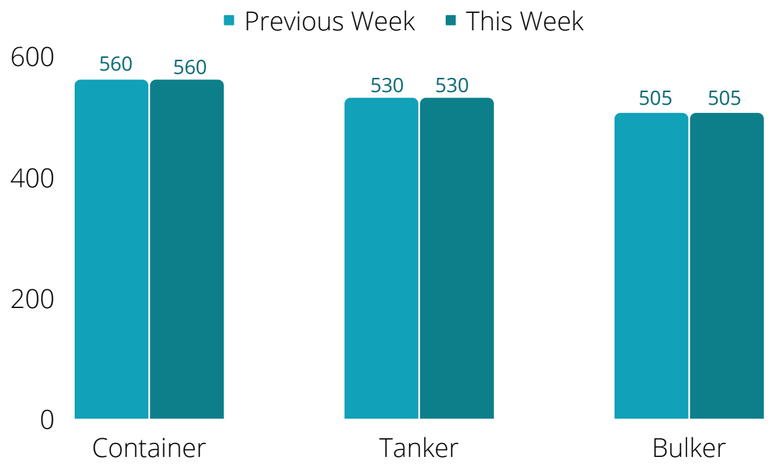
This Week	: 28.17
Previous Week	: 28.00
Lost	: 0.17

India

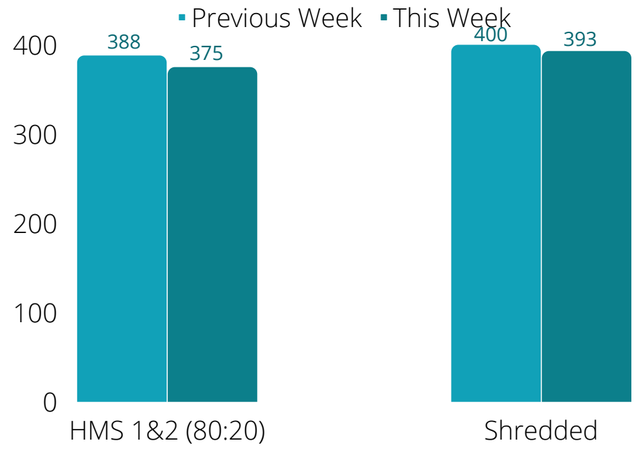
There is still a sustained level of buying interest despite the current market's slow pace.

- The market in India is experiencing a slow pace, with a consistent downward trend seen on a daily basis.
- However, there continues to be a notable buying interest from India, although at reduced levels.
- China has recently reduced the price of the most commonly traded steel products, specifically the benchmarked hot rolled coils, by a minimum of $19 per tonne. These products are now priced at $537 per tonne for export markets, representing a month-on-month decrease of 3-5%. Consequently, Indian exporters have either refrained from making offers or chosen to limit trade activities with Middle Eastern, Southeast Asian, and European nations.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

27 October to 3 November 2023

12 November to 19 November 2023

25 November to 30 November 2023

Bangladesh

The current market is experiencing a regression, characterized by a noticeable decline in demand.

- The current market conditions are exhibiting a regressive trend with a noticeable decrease in demand.
- After 2/3 days of improving, the local market again started dropping prices. As a result, recyclers are closely monitoring the market, wherein the demand has consistently decreased over time.
- The current state of the LC pertains to a recurring issue that has been consistently brought to the spotlight.
- A substantial reduction of sixty million dollars in the central bank's foreign currency reserves has occurred within the past week. As per the most recent report from the Bangladesh Bank, the reserve currently stands at $20.89 billion.

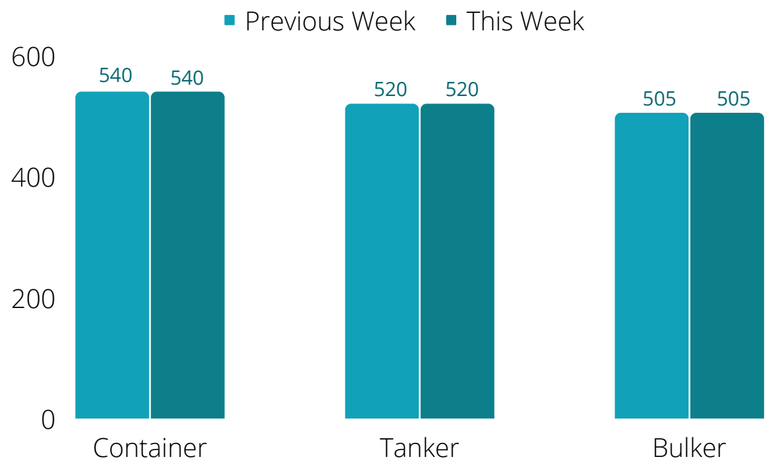
Beaching Dates

12 November to 15 November 2023

25 November to 28 November 2023

12 December to 15 December 2023

Price for Recycling Ships in Bangladesh



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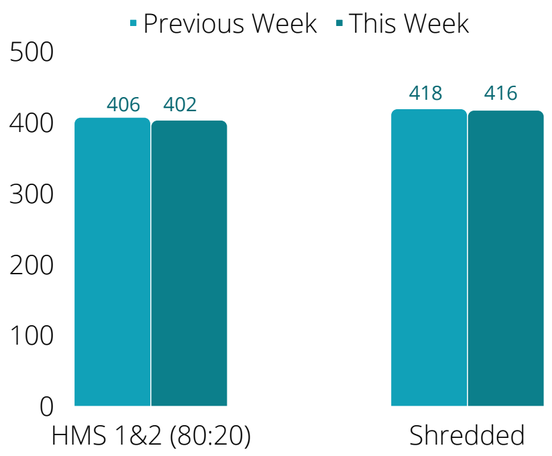


Pakistan

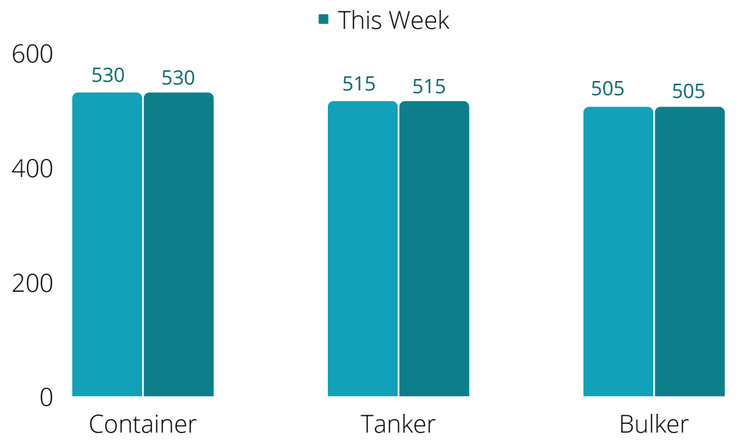
In this market, a dearth of activity and sluggishness are observed.

- The market exhibited a notable lack of activity and sluggishness across all sectors throughout the week.
- As mentioned earlier in our report from the previous week, this market is also affected by LC issues.
- With the intention of providing assistance to struggling gas companies, the provisional government of Pakistan authorized a significant surge in gas prices to take effect on November 1. Commencing from that date, commercial consumers can anticipate a 137% increase in gas prices, whereas domestic consumers can anticipate a 172% surge.
- The IMF will dispatch a team to Pakistan the following week to negotiate the release of the second $710 million installment of a $3 billion loan.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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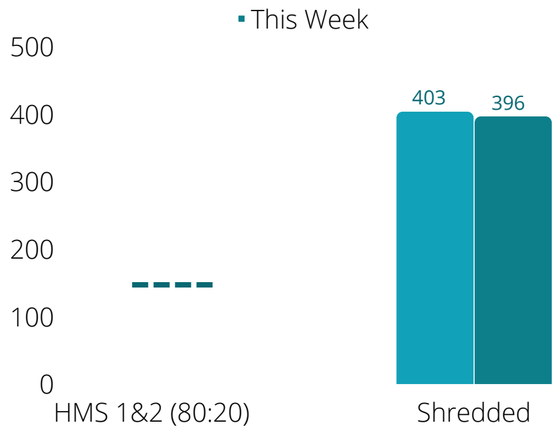
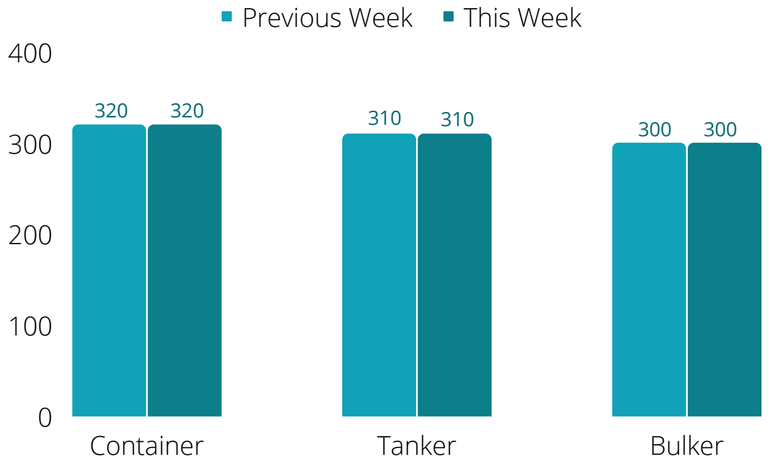


Türkiye

The current market exhibits a diminished level of demand, resulting in a decline in both import and local prices.

- The current market conditions indicate a relatively low level of demand.
- The market in this setting has seen a decrease of 9 USD in import prices and 3 USD in local prices.
- Turkiye has increased interest rates for the fifth time since June, in an effort to combat inflation and in response to a new challenge posed by the prospect of escalating conflict in the Middle East. As anticipated by economists, the central bank has raised the benchmark one-week repo rate by 5 percentage points to 35%.

Price for Recycling Ships in Türkiye



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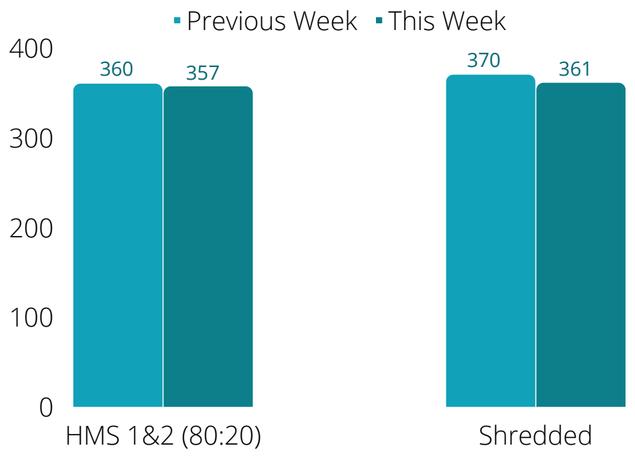
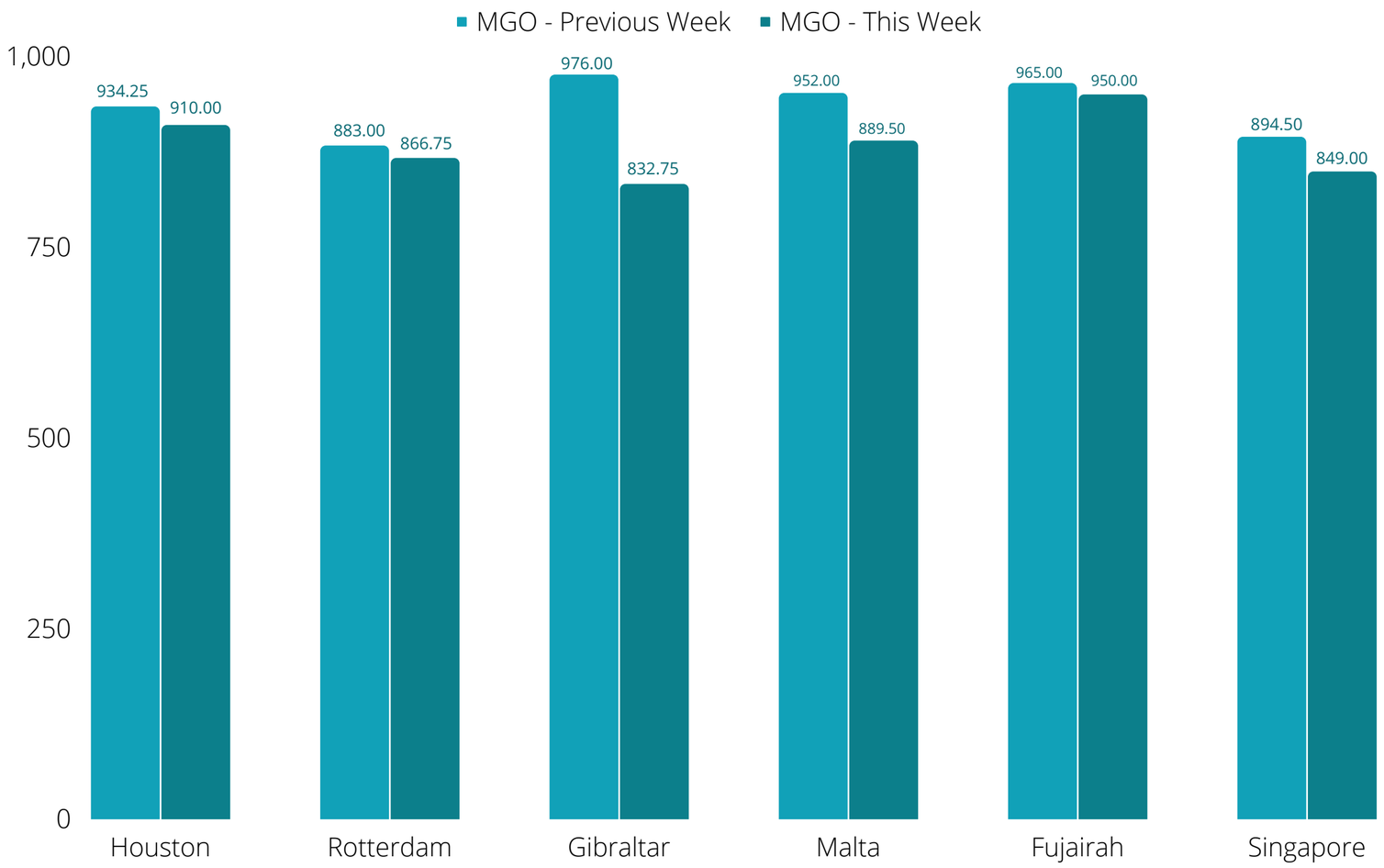


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week : 88.89
Previous Week : 93.03
Movement : - 4.14

WTI Crude

This Week : 84.27
Previous Week : 90.18
Movement : - 5.91

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
TRINIDAD 1	CARGO / RORO	8917871	1993	YUGOSLAVIA	3,940	AS-IS	ECUADOR	UNDISCLOSED
LUCKY DRAGON	CONTAINER	9117181	1996	POLAND	8,170	AS-IS	SINGAPORE	537

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